

Property Valuation in Michigan

STUDY SHEET

Value

- Market value: price the buyer and seller agree upon (alternatively, price arrived at by performing market value analysis)
- Assessed value: used to calculate property taxes
- Highest and best use: the most profitable (and legal and possible) use of a property
- Plottage: Joining two adjacent parcels will increase the overall value of the property beyond what they would be worth if sold separately

Forces Impacting Value

- Environmental
- Physical, social, political
- Governmental and economic

Estimating Value

- An appraiser using the sales comparison approach: uses both qualitative (elements) and quantitative (units) aspects of a property
- Sales comparison approach: based on the value of similar properties in the market
- Cost approach: based on the cost to rebuild the property
- Income approach: estimates the income a property could generate if leased or rented

Comparative Market Analysis (CMA)

- Adjustments are made to the comparables, not to the subject property
- Comparables: recent sales carry more weight than older sales
- CMA appraisal (only a licensed appraiser may perform an appraisal)

Valuing Investment Properties

- Cap rate: annual rate of return from an income-producing property (often used by investors to determine value, or to compare one investment against another)
- Gross income multiplier: sales price divided by annual gross income
- Gross rent multiplier: sales price divided by the monthly gross rent

Appraisal Practice

- Evaluation: study of a property, possibly for land use or marketability
- Valuation: the process of forming an opinion of a property's value
- Appraisal: unbiased estimate of value of a property as of a specific date
- Types of value determined by appraisals may be mortgage value, investment value, or insured value
- Appraisers are generally hired by the lender or buyer (although sometimes a seller will hire an appraiser, as well)